

Saudi Arabia's Vision 2030

MBS, ARAMCO, and the Kingdom's Race Against Oil

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Executive Summary

Saudi Arabia stands at the most consequential inflection point in its modern history. The Vision 2030 programme, launched by Royal Decree on April 25, 2016, represents an explicit acknowledgement by the House of Saud that the oil-financed rentier state model is existentially unsustainable. Driven by Crown Prince Mohammed bin Salman — who has concentrated executive authority to a degree unprecedented since the Kingdom's founding — Vision 2030 sets ambitious targets across economic diversification, social liberalisation, and institutional reform. The Public Investment Fund (PIF), the sovereign wealth vehicle at the heart of this transformation, grew from approximately \$150 billion in assets under management in 2016 to over \$700 billion by 2026. Saudi Aramco, the national oil company whose partial listing in 2019 was engineered to capitalise this transformation, recorded net income of \$161 billion in 2022 and \$121 billion in 2023, cementing its position as the world's most profitable company for those years. Against this backdrop of extraordinary resource wealth, Saudi Arabia's GDP stood at approximately \$1.1 trillion in 2023, yet the fundamental question — whether concentrated royal authority, petrochemical revenues, and top-down social engineering can produce genuine economic diversification within a decade — remains unanswered. This report examines the architecture, contradictions, and geopolitical consequences of the Kingdom's attempted transformation.

Part I — The MBS Era: Power Concentration and the New Monarchy

The Rise of Mohammed bin Salman

The trajectory of Mohammed bin Salman's ascent within the House of Saud is without modern precedent in Saudi governance. Appointed Defence Minister in January 2015, days after his father King Salman acceded to the throne, MBS was elevated to Crown Prince on June 21, 2017, displacing his cousin Mohammed bin Nayef — who had been the favourite of the United States intelligence community and a principal counterterrorism partner — in a palace manoeuvre that concentrated succession authority in the younger generation for the first time. MBS simultaneously held the positions of Crown Prince, Prime Minister (from 2022), Defence Minister, and PIF Chairman — a concentration of executive authority that rendered him effective co-ruler alongside King Salman.

The Ritz-Carlton Purge

The event that most dramatically signalled MBS's willingness to break with Saudi convention was the detention of over 200 princes, ministers, and business executives at the Ritz-Carlton Hotel in Riyadh beginning November 4, 2017. Framed officially as an anti-corruption campaign under a newly created Supreme Anti-Corruption Committee chaired by MBS, the operation targeted individuals including Prince Al-Waleed bin Talal, former minister Prince Miteb bin Abdullah (son of King Abdullah), and leading businessmen from across the Kingdom's commercial elite. Saudi officials stated that settlements totalling

over \$100 billion were recovered through the process, though independent verification of this figure was impossible given the opacity of proceedings conducted entirely outside the formal judicial system . Critics characterised the operation as a consolidation of economic and political power rather than genuine anti-corruption enforcement, noting that those who settled faced no formal charges and that the process had no independent legal oversight .

The Khashoggi Killing

The killing of journalist Jamal Khashoggi at the Saudi consulate in Istanbul on October 2, 2018 permanently altered international perception of MBS and the Vision 2030 project . Khashoggi, a former Saudi government insider turned Washington Post columnist, was killed by a team of Saudi operatives that US intelligence concluded was dispatched under the direction of MBS . The CIA assessment stated with high confidence that MBS approved the operation. The killing triggered temporary diplomatic isolation, the suspension of some arms deals by European states, and Congressional pressure on US-Saudi relations, though it ultimately produced no lasting strategic rupture between Washington and Riyadh — a fact that itself illuminated the structural weight of Saudi energy leverage in US foreign policy calculations.

NEOM and the Megaproject Vision

In October 2017, MBS announced NEOM — a \$500 billion megaproject to be built on 26,500 square kilometres of virgin territory in the Tabuk region of northwestern Saudi Arabia . NEOM encompasses multiple sub-projects, of which The Line — a proposed 170-kilometre linear city housing 9 million residents in a mirrored corridor 200 metres wide and 500 metres tall — has attracted the most international attention and scepticism . Women were permitted to drive motor vehicles beginning June 24, 2018, a reform that had been demanded by Saudi activists for decades and for which a number of prominent activists were simultaneously imprisoned as it was announced .

Part II — Vision 2030 Economic Transformation: The Architecture of Diversification

The Programme Structure

Vision 2030 is operationalised through thirteen Vision Realization Programs, each governed by a dedicated committee responsible for specific sectoral targets . The overarching fiscal target — raising non-oil government revenues to SAR 1 trillion (approximately \$267 billion at prevailing exchange rates) — was explicitly designed to reduce the state's structural dependence on hydrocarbon receipts, which in years of oil price decline had produced dramatic fiscal deficits . The Kingdom ran a fiscal deficit of approximately \$79 billion in 2020 as Brent crude fell to lows not seen since 2002 .

Tourism and Entertainment

Saudi Arabia's tourism targets represent one of the most ambitious components of Vision 2030, with the programme targeting 100 million visitor arrivals by 2030 . Progress has been material: the Kingdom recorded approximately 27 million international tourist arrivals in 2023, up from a base of 15 million pre-pandemic . The entertainment sector has been transformed at speed: cinemas were reopened in 2018 after a 35-year ban, and the General Entertainment Authority has licensed concerts, wrestling events, and mixed-gender public gatherings at a pace that would have been inconceivable under the previous social contract .

Sports as Soft Power

Saudi Arabia's deployment of sport as geopolitical soft power has generated significant international debate. The PIF's \$2 billion investment in LIV Golf, which began in 2022 and ultimately led to the

announced merger framework with the PGA Tour in June 2023, exemplifies a broader strategy of acquiring influence within globally-recognised sporting institutions . The Kingdom's acquisition of Newcastle United Football Club for £305 million in October 2021 through a PIF-led consortium — after years of Premier League objection over piracy concerns — brought a historically supported English football institution into the Saudi sphere . FIFA's award of the 2034 World Cup hosting rights to Saudi Arabia in 2024 cements the Kingdom's long-term investment in football infrastructure and global legitimacy .

Manufacturing and NEOM Progress

The Alat industrial company, announced in 2024 with a capitalisation target of \$100 billion, represents the latest major manufacturing initiative under Vision 2030, targeting the production of advanced electronics, electric vehicles, and robotics within Saudi territory . The progress of The Line within NEOM has, however, been considerably more contested than initial announcements suggested: multiple credible journalistic investigations reported in 2024 that the project's scope had been scaled back significantly, with construction concentrated on a far smaller initial section and the 2030 completion target for the full 170-kilometre corridor effectively abandoned .

Part III — ARAMCO and the Energy Equation

The World's Most Profitable Company

Saudi Aramco's partial initial public offering on the Tadawul exchange in December 2019, in which a 2.0 percent stake was sold to raise \$29.4 billion — the largest IPO in history by proceeds — was designed to serve multiple simultaneous objectives: to capitalise the PIF, to subject Aramco to market discipline and transparency, and to signal the modernisation of Saudi economic governance . The company's market capitalisation peaked at approximately \$2.4 trillion in November 2022, briefly making it the world's most valuable publicly traded company . Second-quarter 2023 net income of \$30 billion reflected the moderation of oil prices from their 2022 peaks . The company's structural profitability — reflecting lifting costs of approximately \$2.50 per barrel, among the lowest in the world — provides the Kingdom with fiscal resilience unavailable to higher-cost producers .

OPEC+ Production Architecture

Saudi Arabia's leadership of the OPEC+ coalition has been a defining feature of global oil markets since the 2016 Algiers Accord established the grouping. The Kingdom executed voluntary production cuts totalling approximately 1.5 million barrels per day in the 2022-2024 period, coordinated with Russia and other OPEC+ members, as a mechanism to support oil prices in the face of US shale supply growth and demand uncertainty . The tension between Aramco's production capacity expansion (targeting 12 million barrels per day) and the Kingdom's OPEC+ obligations represents an enduring structural contradiction: Vision 2030 requires both the oil revenues that production supports and the economic diversification that reduces oil dependence.

Renewable Energy and the Green Pledge

Vision 2030 includes a target to source 50 percent of Saudi Arabia's electricity generation from renewable energy by 2030 . The Saudi Green Initiative, announced in March 2021, includes a pledge to plant 10 billion trees across the Arabian Peninsula and a further 40 billion across the Middle East, as well as a net-zero by 2060 commitment for the Kingdom . Carbon capture infrastructure at Jubail Industrial City represents an investment in fossil fuel longevity alongside the renewables transition — a dual-track strategy that critics characterise as fundamentally contradictory .

Part IV — Geopolitics: Rebalancing the Kingdom's Alliances

The Saudi-Iran Rapprochement

The most consequential diplomatic development of the 2022-2024 period in Gulf geopolitics was the Saudi-Iranian normalisation agreement brokered in Beijing in March 2023, under which both countries agreed to restore diplomatic relations and reopen embassies . The China-brokered deal represented a direct challenge to the longstanding US assumption that it served as the indispensable security guarantor for the Gulf monarchies, and reflected Riyadh's willingness to pursue strategic hedging across great power relationships. Embassies in Tehran and Riyadh reopened in May and June 2023 respectively .

Saudi-Israeli Normalisation and October 7

Prior to the Hamas attack of October 7, 2023, US-mediated talks toward Saudi-Israeli normalisation were reportedly at an advanced stage, with Saudi Arabia's conditions understood to include a formal US security guarantee equivalent to a NATO Article 5 commitment, assistance with a civilian nuclear programme (including enrichment rights), and meaningful progress on Palestinian statehood . The October 7 attack and subsequent Gaza war effectively suspended formal normalisation negotiations, as domestic Arab opinion and pan-Islamic solidarity rendered overt normalisation politically untenable for Riyadh in the near term, though back-channel security cooperation reportedly continued .

The Quincy Architecture and Strategic Hedging

The foundational US-Saudi security relationship — established aboard the USS Quincy in February 1945 when President Roosevelt met King Abdulaziz — has structured Gulf security for eight decades on the implicit exchange of US security guarantees for stable oil supply . MBS's diplomatic behaviour since 2022 — including Saudi abstentions on UN resolutions condemning Russia's invasion of Ukraine, oil pricing discussions with China in yuan, and the Iran rapprochement — signals a deliberate diversification of Saudi strategic dependencies that reflects calculation about American reliability as a security guarantor in a multipolar era . Iran's nuclear programme — and the spectre of Iranian threshold nuclear status — remains the primary Saudi strategic threat, with Riyadh's conditions for normalisation with Israel explicitly linked to US commitments on civilian nuclear capability .

Part V — Social Transformation and the Risks Ahead

Demographics and the Employment Imperative

The foundational demographic pressure driving Vision 2030 is structural: approximately 70 percent of Saudi Arabia's population is under 35, and the Kingdom produces approximately 300,000 new labour market entrants annually . The Vision 2030 target of increasing Saudi nationals in private sector employment from a base of approximately 30 percent toward a target of 40 percent — enforced through the NITAQAT quota system, which imposes sector-specific Saudisation requirements on private employers — has produced measurable results in some sectors while creating compliance distortions in others . Female labour force participation represents one of the most dramatic social statistics of the MBS era: from approximately 17 percent in 2017 to approximately 33 percent in 2023, driven by regulatory reform, social liberalisation, and active government programmes .

NEOM: Scale, Ambition, and Credibility

The gap between the announced \$500 billion budget for NEOM and actual committed capital expenditure is one of the most consequential uncertainties in Gulf political economy. Independent analysts noted in 2024 that the project's ambition significantly exceeded Saudi Arabia's construction workforce capacity, infrastructure supply chains, and available financing, with total committed external financing remaining far below the headline figure . The human cost of NEOM's land clearance programme has also attracted international scrutiny: the Huwaitat tribe was forcibly relocated from the Tabuk region to make way for

NEOM construction, with Abdul Rahim al-Huwaiti killed by Saudi security forces in April 2020 after publicly refusing to leave his land and criticising the project .

Repression and the Social Contract

Vision 2030's social liberalisation coexists with systematic repression of political dissent. Saudi Arabia executed 196 individuals in 2022, the highest annual figure in decades, including mass executions of Shia men convicted following terrorism charges that human rights organisations characterised as grossly unfair . Women's rights activists including Loujain al-Hathloul — a prominent campaigner for the right to drive — were imprisoned in 2018, the same year the driving ban was lifted, and subjected to torture allegations that Saudi authorities denied . The simultaneous reform and repression signals that Vision 2030 is a top-down modernisation project that reserves the right to define the pace and limits of change, tolerating social evolution while systematically eliminating political challenge.

Conclusion

Vision 2030's probability of achieving its most ambitious targets by 2030 must be assessed sector by sector. The social transformation — female labour force participation, entertainment liberalisation, tourism growth — has proceeded at a pace that would have been considered implausible a decade ago, and is likely irreversible regardless of political change. The economic diversification targets are harder to assess: non-oil revenues have grown, but the structural dependence on Aramco dividends and oil-linked fiscal receipts persists, and the 50 percent non-oil revenue target remains distant . NEOM's credibility as a transformational anchor project is increasingly questioned by independent analysts, even as the PIF continues to deploy capital at scale across global markets. The geopolitical dimension — Saudi Arabia's deliberate hedging between the United States, China, and a post-rapprochement Iran — reflects a sophisticated reading of multipolar realities but also introduces new strategic risks as Washington recalibrates its commitments. Whether MBS's combination of concentrated power, extraordinary resource wealth, and transformational ambition can produce genuine economic diversification within the remaining years of this decade is the central question in Arab political economy — and the answer will shape the stability of the world's most critical energy-producing region for generations.

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All data from IMF World Economic Outlook and Article IV Consultations; Saudi Aramco Annual Reports 2022-2023; PIF Annual Reports; Saudi Vision 2030 Official Programme and Delivery Reports; Saudi General Authority for Statistics; World Bank Country Profiles; Human Rights Watch; Amnesty International; OPEC Secretariat Monthly Reports; IEA Oil Market Reports; Reuters; Bloomberg; Financial Times; Wall Street Journal; UN Special Rapporteur reports; NEOM Authority publications.